

## Out-of-sample summary -- recursive Campbell–Thompson $R^2$ by phase

| Phase               | Specification        | In-sample $R^2$ (mean) | OOS $R^2$ (pooled) | Markets OOS+ |
|---------------------|----------------------|------------------------|--------------------|--------------|
| I -- local          | $rx \sim CF$         | 0.247                  | −0.076             | 2/11         |
| II -- global        | $rx \sim GCF$        | 0.247                  | 0.046              | 10/11        |
| III -- USD, global  | $rx\_USD \sim GCF$   | 0.080                  | −0.071             | 2/11         |
| III -- USD, FX-adj. | $rx\_USD \sim FXGCF$ | 0.095                  | 0.002              | 9/11         |

In-sample  $R^2$  is the cross-country mean of the single-factor fits (Eq 18, 20, 22, 23). OOS  $R^2$  is the pooled Campbell–Thompson (2008)  $R^2$  of the fully-recursive factor forecast against the recursive prevailing mean (Eq meth-ctr2); 'Markets OOS+' counts markets with positive OOS  $R^2$ . The factor and the forecasting regression both respect time  $t$  (doubly out-of-sample). Detail in Ch.8.